

Table 6.2 Problems That Compound Solves

Traditional Finance Problem	Compound Solution
<i>Centralized control:</i> Borrowing and lending rates are controlled by institutions.	Compound rates are determined algorithmically and give control of market parameters to COMP stakeholders incentivized to provide value to users.
<i>Limited access:</i> Difficulty in accessing high-yield USD investment opportunities or competitive borrowing.	Open ability to borrow or lend any supported assets at competitive algorithmically determined rates (temporarily subsidized by COMP distribution).
<i>Inefficiency:</i> Suboptimal rates for borrowing and lending due to inflated costs.	Algorithmically pooled and optimized interest rates.
<i>Lack of interoperability:</i> Cannot repurpose supplied positions for other investment opportunities.	Tokenized positions via cTokens can be used to turn static assets into yield-generating assets.
<i>Opacity:</i> Unclear collateralization of lending institutions.	Transparent collateralization ratios of borrowers visible to entire ecosystem.